


## KUSHINAGAR AIRPORT, *Uttar Pradesh*

**NO FLIGHTS SINCE NOVEMBER 2023**

**Cost:** Rs 260 cr.

**Opened:** Oct. 20, 2021 (Udan 4.0)

**Routes:** Delhi, Kolkata, Mumbai

**Highlight:** Got international airport status in **June 2020**; inaugural flight landed from Colombo

**Key Issues:** The airport initially lacked facilities for low-visibility operations; later affected by weak passenger demand and the airline's financial troubles

### AIRLINES HIT TURBULENCE

There are several reasons why this is the case. Airlines like Alliance Air cite the lack of night-landing facilities, erratic weather and minimal ground support at the new airports. SpiceJet and Star Air point to high aviation turbine fuel (ATF) costs and dwindling demand on short routes. Even the AAI now admits that many terminals were completed, but "operations could not materialise due to non-interest of airlines or non-readiness of runways".

Take, for instance, the Kushinagar International Airport in Uttar Pradesh, inaugurated by Prime Minister Narendra Modi in October 2021. Initially, SpiceJet operated four flights per week on the Delhi–Kushinagar route under Udan 4.0. Kolkata and Mumbai routes had also been allotted. But soon the service became sporadic and was halted altogether in November 2023, citing aircraft shortage and low demand. The airline is now expected to begin 78-seater flights to Saharanpur in January 2026. A few routes have been awarded to a new firm, Jettwings, but it has yet to make any firm commitment.



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> **KAPIL KAUL,** *CEO, CAPA India*

"The airports have been set up in anticipation of Udan, but the routes that are being opened under the scheme are not surviving," says Kapil Kaul, CEO of aviation consultancy CAPA India. "And that's after half a billion dollars were spent on Viability Gap Funding (VGF)." VGF was payment to airlines for the shortfall arising out of the Rs 2,500 fare cap on half the seats for an hour-long journey. Government records show that concessions amounting to Rs 4,300 crore have been disbursed so far. It is intended to be a three-year cushion, after which the airlines are left to absorb the full cost. Most can't. And so a financial model that was meant to be a lifeline has ended up becoming a trap.

A Comptroller and Auditor General (CAG) report in 2023 found that more than half of the 774 routes awarded in Udan's first three phases never took off. Of the 371 that did, only 112 completed the full concession period. And only 54, or 7 per cent of the awarded routes, could sustain the operations, as of March 2023.

Airlines argue that financing small aircraft, especially for low-traffic routes, is nearly impossible without government backing. "They want sovereign guarantees," says a senior civil aviation official, on the condition of anonymity. "We tell them the letter of intent to operate on a route is enough to secure financing, but they want the Centre to underwrite aircraft loans. That is not possible."

Unsurprisingly, smaller operators, lacking deep pockets, often struggle to stay afloat on these thin routes. For instance, FlyBig, a Gurugram-based small carrier, has had to transfer 19 Udan routes—many of which never took off—to SkyHop, a company linked to SpiceJet promoter Ajay Singh. Elsewhere, the sector has weathered significant volatility. Ambitious connections to cities like Mysuru, Salem and Shimla were disrupted after new operators exited. The routes were later re-auctioned to maintain service, attracting established players—but even they face significant challenges.

In an effort to connect hilly and remote areas, the government in later phases also extended Udan to helicopter routes across Uttarakhand, Himachal Pradesh, Arunachal Pradesh and Sikkim. Conceptually, it made sense: pilgrims and tourists could fly over difficult terrain. But the plan soon fal-